Cryptocurrencies

Criminals stole $90mn of crypto by hiding password readers in USB-like devices

Ledger said theft from its secure wallets was 'one of the most sophisticated attacks' the industry has seen



Ledger said the criminals 'were patient, they spent millions and they struck in one co-ordinated operation, draining wallets' © Andersastphoto/Dreamstime.com

Nikou Asgari in London

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Criminals stole about $90mn worth of digital assets from cryptocurrency wallets last week by hiding password-reading components in small USB-like devices that are designed to be the most secure way for investors to store access to their tokens.

The tokens were drained from the wallets of customers of French company Ledger, in what it described as "one of the most sophisticated attacks" the crypto industry has seen.

Ledger sells small devices similar to USB sticks on which investors can securely store the password to access their digital tokens without any internet connection as a way of protecting against hacks of their passwords and assets.

The company on Thursday said organised criminals over several months had "bought genuine Ledger devices, opened them, fitted custom-built hidden components designed to capture the recovery phrase during set-up, and put them back into distribution through resellers in south-east Asia.

"They built their own logistics and technology infrastructure with [password] collector servers, draining and laundering infrastructures. They were patient, they spent millions and they struck in one co-ordinated operation, draining wallets," the company added.

The incident highlights the lengths to which organised criminals are going to steal digital tokens and has raised alarm in the industry over how to protect against similar attacks.

The affected devices were all sold by CryptoBilis, a reseller based in Malaysia.

“We have paused all sales and shipments of Ledger devices while Ledger investigates, and we are co-operating with Ledger’s investigation,” CryptoBilis said.

Ledger said it had stepped up scrutiny of its distribution network, including by telling partners that its devices “can never be resold in any form, even if they look new and unopened”.

Trezor, a competitor that also sells hardware devices, has made a similar move in light of the attack, reducing the number of resellers it works with as a precautionary measure so that it can “vet and check every partner”.

“A hardware wallet is only as safe as the path it travels to reach its owner,” said Danny Sanders, chief commercial officer at Trezor, adding that the company is increasing scrutiny of how its devices are “sourced, stored and handled”.

Several self-custody platforms have been hacked in recent months. About $116mn was stolen from Coldcard wallets in August after hackers exploited a flaw in the system.

“Over the past few years, the crypto crime landscape has become increasingly professionalised,” blockchain tracing firm Chainalysis said in a report earlier this year, adding that crypto “remains a critical element in modern criminal operations”.

Ledger’s own systems were not compromised, the company said, adding that “this was an attack on the distribution channel after the devices left our control”.

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